

India. He finds it difficult to invest in most north Indian chains due to the conflict-of-interest issues between making undue profits off patients by ordering not-needed tests, or putting in a stent when the guy comes with gas in the belly, and giving adequate and cost-effective healthcare.

Some of the south Indian hospitals he has investments in, he said, are turning a profit, but profit is not the only motivator. You can take a flight to Trichy from Delhi, get the surgery and back, and it will still be cheaper, he said. Medical costs are insane in the five-star hospitals that the urban mass affluent now frequent.

This little story tells you why the question ‘How much cover do I need?’ depends on where you live, and what kind of hospital you want to go to, and what kind of privacy concerns you may have. For example, the room rent in an upmarket south Delhi hospital for a single deluxe room is upwards of Rs 10,000 a night. A less posh nursing home less than 1.5km away costs one-fourth of that.

But we can still work with some rules of thumb. You need a basic cover of Rs 3–15 lakhs per person. Use the Rs 3 lakh number for smaller towns and less posh facilities, and the Rs 15 lakh number for metros and all the bells and whistles. For a nuclear family it makes sense to get a product called a ‘family floater’ that allows the insurance cover to whichever member of the family that needs it.

For example, if you have a Rs 15-lakh family floater medical cover for a family of four – father, mother and two kids – any or all of them can use the cover in case of a hospitalization. For the years in which you make no claim, the outflow of premium feels heavier and heavier. But it takes one stint in hospital to see the usefulness of the premium you have paid.

What policy do I buy?

That’s the most difficult question of all, and one that everybody wants an answer to. But there are no easy answers. I’m no newbie in finance, but I have to tell you that when I was in the market to buy a policy, I had to call a financial planner.